

# The deadweight loss of taxation

The benefits of taxation come with a cost, in terms of their interference with the market mechanism. Taxes on goods increase the prices of some goods relative to others, and income tax reduces workers' take-home wages, leading to so-called 'deadweight losses'.

Suppose that the government increases the income tax rate. This will reduce workers' disposable incomes, but increase the revenue for spending on public services. The higher rate makes some people work less, reducing their welfare, and the government doesn't gain any extra revenue to offset these lower hours. This is the deadweight loss to the economy. Incentive effects come from the marginal tax rate: this is the rate on an extra hour of work. When high, it may not be worth working more. Marginal rates tend to be lower at low income levels, so at high levels the average rate of tax – the share of total income that goes on tax – is often much less than the marginal rate.

